Practice workbook · Price elasticity of demand: meaning, values and uses

What PED measures, interpreting values from perfectly inelastic to perfectly elastic, the determinants, the link with total revenue, and why PED matters to firms and government.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-12

1. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

4 Figure 5 shows profit for a firm between 2020 and 2022.

Year	Profit ($)
2020	20 250
2021	21 000
2022	22 950

Figure 5

(a) Calculate, to two decimal places, the **percentage change in profit** for the firm between 2020 and 2022. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

Marina Café is popular with tourists and locals in the town of Budva, Montenegro. It is situated next to the sea, with views of the surrounding mountains. Customers can enjoy their drinks whilst benefitting from the pleasant surroundings but pay €2.00 for a cup of coffee. The same brand of coffee can be bought for €0.80 a cup in some other cafés in Budva.

(b) With reference to the data above and your knowledge of economics, analyse why price elasticity of demand (PED) may be relatively inelastic at Marina Café.

(6)

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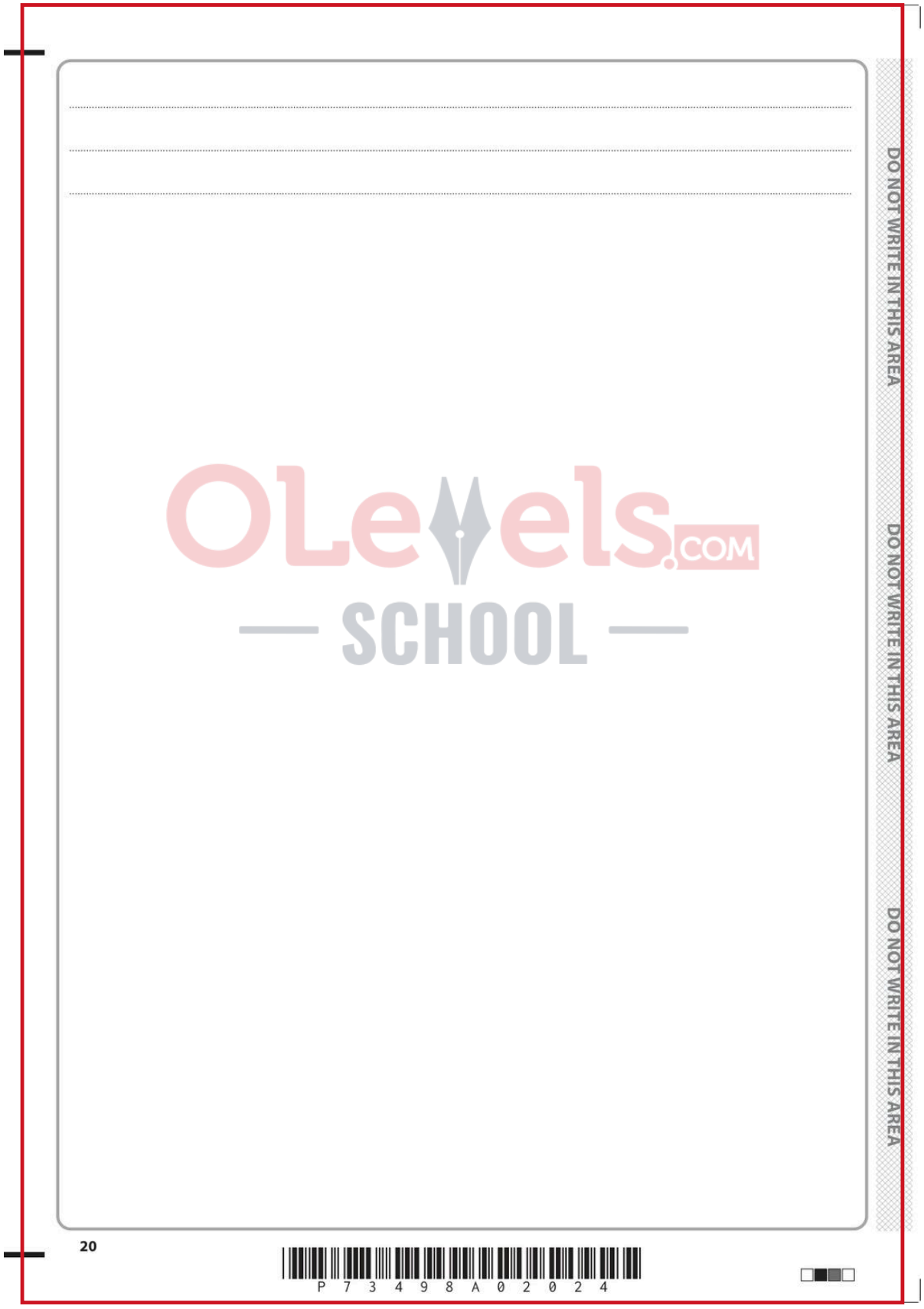
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1. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.



1. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

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Churros are a popular Spanish snack made from fried pastry and covered in sugar and/or chocolate. Raphael operates a factory making the churros pastry, which is supplied to busy restaurants and street vendors all over Madrid, Spain. The factory has been owned by his family since 1980 and currently has 23 employees.

The pastry-making process involves mixing all the ingredients together and then heating them. Once the mixture has cooled, eggs are added and the dough is then shaped into lengths of about 15 cm. Raphael is considering introducing division of labour into the production process in order to increase productivity.

(c) With reference to the data above and your knowledge of economics, evaluate whether introducing division of labour is the best way for Raphael to increase productivity in his pastry-making factory.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 3 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following may result in economic growth?

(1)

- ☒ **A** Increasing unemployment
- ☒ **B** Decreasing government spending
- ☒ **C** Decreasing productivity
- ☒ **D** Increasing technological advancements

(b) Which **one** of the following is an example of an economic want?

(1)

- ☒ **A** Food
- ☒ **B** Water
- ☒ **C** Shelter
- ☒ **D** Education

The total revenue of a printing firm is $75 000 per month when it sells 100,000 newspapers. The price of a newspaper increases to $0.85 and demand falls to 95,000 newspapers per month.

(c) Calculate the new total revenue. You are advised to show your working.

(2)

(d) Using your answer to 3 (c), state the price elasticity of demand for newspapers.

(1)

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2. Question 3 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

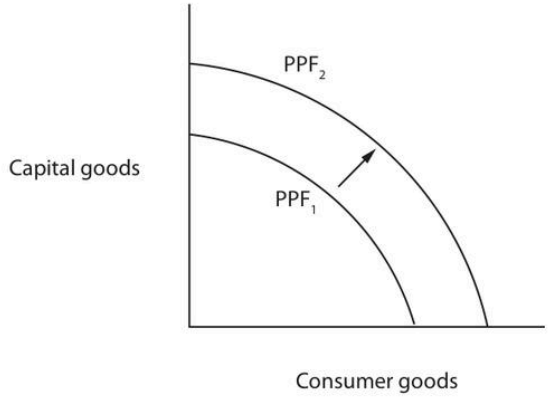


Figure 3

Figure 3 shows an outward shift in the production possibility frontier (PPF) for an economy.

(e) Analyse why the economy has moved from PPF_1 to PPF_2. (6)

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2. Question 3 · part d · 1 mark · Working and answer

Working and answer

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3. Question 1 · part h · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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3. Question 1 · part h · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

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(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

Quantity	Total fixed costs	Total variable costs
2,000	$7 340	$4 760

Figure 1

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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3. Question 1 · part h · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

(g) Using the diagram below, draw the effects on the market for crops after a hurricane destroys farm land. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

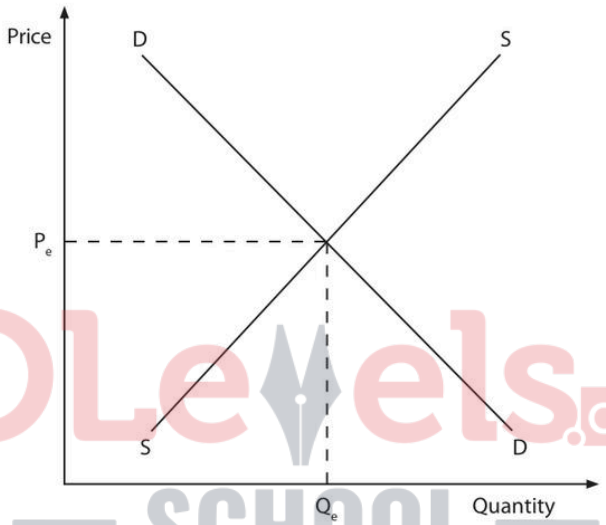


Figure 2

Concert tickets to see the most popular music artists can sell for very high prices.

(h) Explain **one** reason why the demand for these tickets might be price inelastic.

(3)

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3. Question 1 · part h · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

Introduced in 1935, Inca Kola is a yellow-gold coloured, fizzy, soft drink that is popular all over Peru. By 1995, Inca Kola had grown to become a strong competitor of Coca-Cola. Inca Kola had a 32.9% market share compared to Coca-Cola's 32.0% in Peru.

By 2014, Coca-Cola owned 48.5% of Inca Kola shares.

(Source: adapted from Peru's 'improbable' Inca Kola wins out over Coke by Andres Schipani © Financial Times September 2014)

(i) With reference to the data above and your knowledge of economics, analyse the possible reasons for Coca-Cola purchasing shares in Inca Kola.

(6)

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(Total for Question 1 = 20 marks)

3. Question 1 · part h · 3 marks · Working and answer

Working and answer

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4. Question 1 · part a · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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4. Question 1 · part a · 1 mark · Working and answer

Working and answer

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5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

4 Veronique owns a shop that makes cakes for special occasions. The cakes sell for an average price of €40 each.

(a) Calculate the quantity of cakes sold by Veronique's shop when total revenue is €3 600. You are advised to show your working.

(2)

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5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

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German broadband group urges the Vodafone-Liberty deal to be stopped

A business group representing German broadband providers asked regulators to stop the takeover by Vodafone of Liberty Global's German operations, saying the new firm would be too dominant. In 2018, Vodafone agreed to pay $21.8bn for Liberty Global. Arguments against the takeover included that it would delay the work on building a nationwide fibre-optic network and damage competition in the cable TV market.

(Source adapted from: https://uk.reuters.com/article/uk-liberty-global-m-a-vodafone/german-broadband-group-urges-eu-to-block-vodafone-liberty-deal-idUKKCN1NC0Z2)

(b) With reference to the data above and your knowledge of economics, analyse why governments may want to control takeovers.

(6)

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5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

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P 5 9 9 6 3 A 0 2 0 2 4

5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

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Value Added Tax (VAT) is an indirect tax that must be added to the price of most food and household goods. The rate of VAT in South Africa was increased from 14% to 15% on 1st April 2018. Both consumer spending and business confidence fell following this increase but a further rise in VAT is being discussed by the government. VAT is not currently added to the price of fruit, vegetables and bread.

(c) With reference to the data above and your knowledge of economics, evaluate the usefulness of price elasticity of demand (PED) in helping the South African Government to decide whether to increase the rate of VAT.

(12)

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5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

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P 5 9 9 6 3 A 0 2 2 2 4

5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.



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5. Question 4 · part c · 12 marks · Working and answer

Working and answer

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6. Question 2 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

2

Market share by firm for a market in Azerbaijan

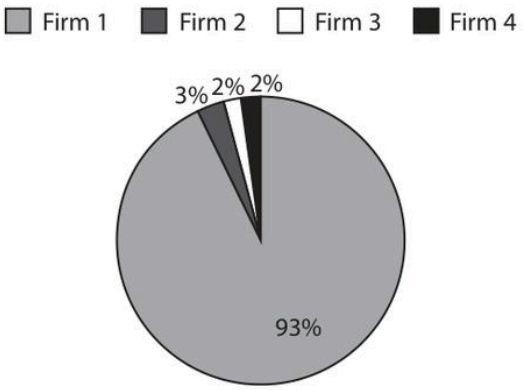


Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3?

(1)

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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6. Question 2 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

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6. Question 2 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

(e) Define the term takeover.

(1)

(f) Describe **one** reason why demand for a product usually becomes more price elastic over time.

(2)

In the UK, the speed limit for drivers in urban areas is 30 miles per hour (48 kilometres per hour).

(g) Explain **one** reason why the UK Government may use fines to reduce the negative externalities caused by drivers speeding in urban areas.

(3)

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6. Question 2 · part f · 2 marks · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a only.

2 (a) Which **one** of the following products has a price inelastic demand?

(1)

	Product	Price elasticity of demand (PED)
☒ A	W	–1.5
☒ B	X	–1
☒ C	Y	–0.5
☒ D	Z	1

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** $\frac{\text{Total fixed cost}}{\text{Quantity produced}}$

☒ **B** $\frac{\text{Total revenue}}{\text{Quantity produced}}$

☒ **C** $\frac{\text{Total cost}}{\text{Quantity produced}}$

☒ **D** $\frac{\text{Total variable cost}}{\text{Quantity produced}}$

(c) State **one** reason why governments intervene in the economy.

(1)

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7. Question 2 · part a · 1 mark · Working and answer

Working and answer

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8. Question 2 · part a · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a only.

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2 (a) Which **one** of the following products has demand that is price elastic?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

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(c) State **one** disadvantage to firms of increased competition.

(1)

P 6 6 3 2 7 A 0 7 2 4

8. Question 2 · part a · 1 mark · Working and answer

Working and answer

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9. Question 2 · part c · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part c only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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P 7 4 0 5 6 R A 0 8 2 4

9. Question 2 · part c · 1 mark · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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3 (a) Which **one** of the following is an example of a job in the primary sector of the economy?

(1)

- ☒ **A** Farmer
- ☒ **B** Mechanic
- ☒ **C** Shop assistant
- ☒ **D** Teacher

(b) Total revenue can be defined as the quantity of goods sold

(1)

- ☒ **A** added to the price
- ☒ **B** subtracted from the price
- ☒ **C** multiplied by the price
- ☒ **D** divided by the price

(c) Using the diagram below, draw a diagram to show a demand curve that has price inelastic demand. Label the curve and show the impact on both axes from a change in price.

(3)

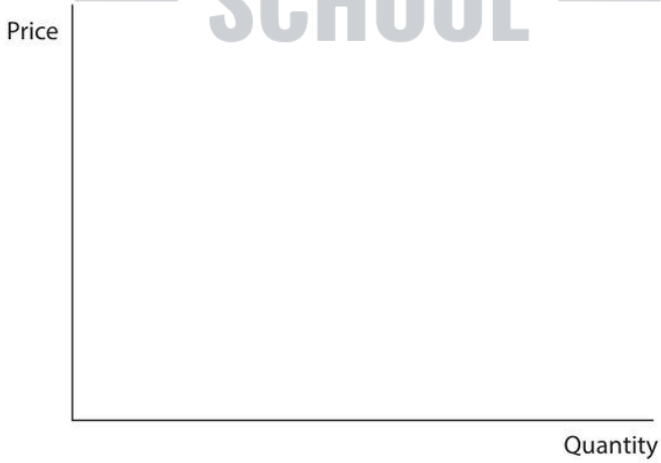


Figure 2

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10. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

At the start of 2023, a study was carried out on the government-owned Portuguese airline, TAP Air, to see whether there were any potential investors. The objective was to begin the process of privatising TAP Air as soon as possible.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages of privatisation for TAP Air.

(6)

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10. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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10. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Prime Hydration is a range of drinks launched in 2022 by YouTube celebrities, KSI and Logan Paul. It was instantly very popular, especially with teenagers. At its launch in the UK, the recommended retail price for a bottle was £1.99.

However, the price of a bottle on Amazon ranged from £8.25 to £19.99 but availability was not guaranteed.

(e) With reference to the data above and your knowledge of economics, assess whether an increase in the price of Prime Hydration is always likely to lead to an increase in total revenue for retailers.

(9)

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P 7 2 9 6 8 R A 0 1 6 2 4

10. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 1 · part a · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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11. Question 1 · part a · 1 mark · Working and answer

Working and answer

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12. Question 1 · part h · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a definition of opportunity cost?

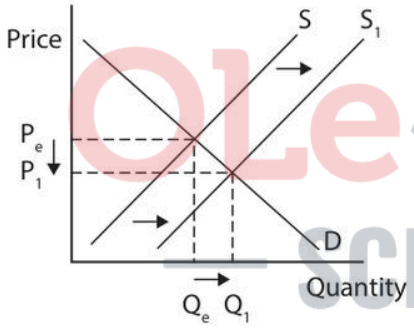
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

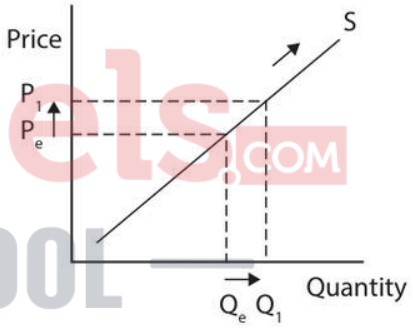
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

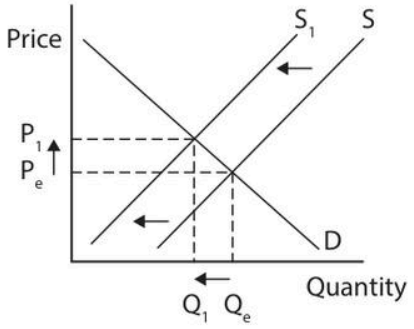
☒ **A**



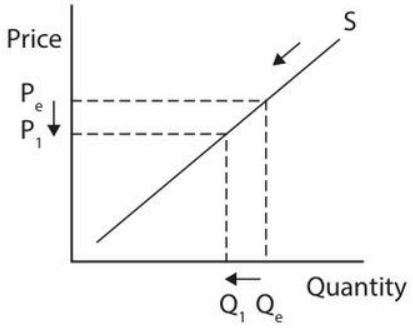
☒ **B**



☒ **C**



☒ **D**



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12. Question 1 · part h · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part h only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

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(e) Define the term takeover.

(1)

12. Question 1 · part h · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part h only.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working.

(2)

Figure 1 shows the market for rice.

(g) Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

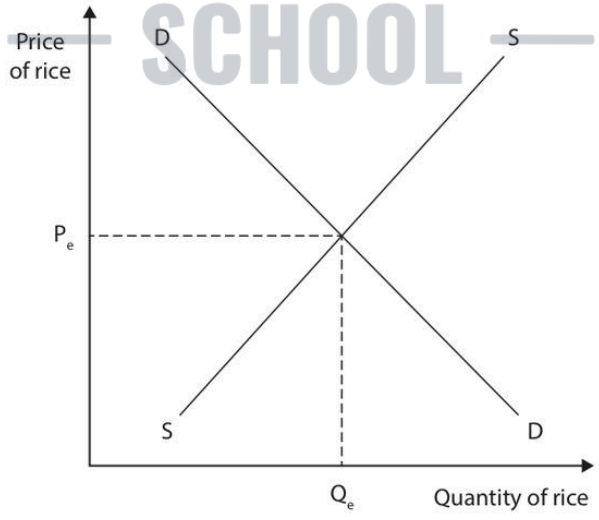


Figure 1

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12. Question 1 · part h · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part h only.

Six months after the price for a soft drink increased, its price elasticity of demand (PED) changed from –1.5 to –2.0.

(h) Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time.

(3)

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12. Question 1 · part h · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part h only.

The main ingredient of chocolate is cocoa. Firstly, cocoa pods are picked from trees. This is mostly done by hand to protect the trees. Cocoa beans are removed from the pods by hand or by machine, before the beans are roasted in ovens. Other ingredients, such as sugar, are added during further stages in the production process.

(i) With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate.

(6)

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6

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12. Question 1 · part h · 3 marks · Working and answer

Working and answer

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13. Question 2 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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2 (a) Which **one** of the following products has a price elastic demand?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	–1.5
☒	**B**	**X**	–1
☒	**C**	**Y**	–0.5
☒	**D**	**Z**	0

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** Total cost ÷ quantity produced

☒ **B** Total fixed cost ÷ quantity produced

☒ **C** Total variable cost ÷ quantity produced

☒ **D** Total revenue ÷ quantity produced

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13. Question 2 · part a · 1 mark · Working and answer

Working and answer

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